Forecasting method FARFIMA(1,1,0) Plugin forecast **Sample size T** 500 1000

FARFIMA(1,1,0)

FARFIMA(0,1,1)

FARFIMA(2,1,0)

FARFIMA(1,1,1)

ψ = 0.2 | ψ = 0.5 | ψ = 0.8

ν = 0.2 | ν = 0.5 | ν = 0.8

Empirical coverage probability

0.90 0.85 0.80 0.75 0.70

1 2 3 4 5 6 7 8 9 10

Forecast horizon h